Public Expenditure Admissibility Architecture

A proposed application of Admissible Execution Architecture to accountable government payment decisions.

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Does this proposed consequence have sufficient Admissible Evidence, Applicable Authority, and Established Standing to become reality NOW?

Scope: illustrative public-sector construction progress payments, with possible extension to procurement, grants and other disbursements. This document is a conceptual design, not an operational certification, government endorsement, legal opinion, or evidence of an existing deployment.

THE PROPOSITION

A payment should not become an executed public expenditure solely because an invoice exists, a workflow advances, or an automated system can issue the transfer. It should cross a documented, legally grounded authorization boundary with traceable evidence, responsible actors and explicit disposition.

1 / Executive proposition

Public financial management already includes appropriations, procurement law, accounting controls, segregation of duties, audit, and prepayment screening. TA14 does not replace those controls. Its proposed contribution is a common, reviewable decision boundary connecting evidence, legal authority, actor standing and the precise payment action about to occur.

Design objective: make the release decision inspectable and reproducible, while preserving the lawful authority of the agency and its officials. An AEA decision is not itself an appropriation, payment order, or legal authorization.

2 / Core chain and decision states

Reality → Record → Continuity → Admissibility → Binding → Commit → Execution → Outcome. Each transition must preserve the identity of the transaction, provenance of evidence, applicable rules and accountable decision-maker.

Disposition	Meaning for a proposed payment
ALLOW	Conditions satisfied for the next separately authorized financial step.
HOLD	Missing, stale, contradictory or unverifiable evidence; no release.
DENY	A demonstrated disqualifying condition or prohibited expenditure.
ESCALATE	A legally or operationally significant ambiguity requires designated human review.

3 / Proposed payment decision record

A minimum record would include: unique payment and contract IDs; program and appropriation references; agency and fund; vendor identity and eligibility; work or delivery acceptance; invoice and amount; prior payments and remaining obligation; statutory, regulatory and contractual control citations; actor, capacity and delegation; timestamps; immutable evidence references; decision rationale; exceptions; and execution receipt.

Sensitive personal, procurement and security information should be protected through access control, retention limits, and selective disclosure. Public transparency does not imply publishing protected records.

4 / Authority and standing

Applicable Authority is distinct from Established Standing. A valid budget does not prove that a particular person can certify work, approve an invoice, or release funds. Standing should identify ACTOR, CAPACITY, STANDING BASIS and AUTHORITY RELATIONSHIP. Delegation limits, expiration, conflict-of-interest controls and separation of duties must be evaluated under the relevant jurisdiction.

5 / Illustrative case: infrastructure payment

A government infrastructure contract has a proposed $750,000 progress payment within a hypothetical $10 million project. The contractor submits an invoice and a progress claim. The acceptance certificate or verified quantities are missing. All amounts and actors are fictional.

Stage	Without explicit AEA boundary	With proposed AEA boundary
Request	Invoice may advance through existing workflow.	Payment object and required evidence are bound to a single decision.
Evidence	Missing acceptance may be discovered later.	HOLD pending verified completion or an authorized exception.
Resolution	Audit may reconstruct events after release.	New evidence triggers a fresh examination; never silently reuses a prior ALLOW.
Execution	Bank or treasury records show transfer.	Execution receipt linked to decision, approval, amount and beneficiary.

The comparison illustrates a possible design gap, not a claim that current government systems generally lack such controls.

6 / Reference gate: proposed evaluation sequence

1. Establish the transaction

Confirm payment ID, fund, program, contract, beneficiary, amount and intended consequence.

2. Verify the record

Authenticate source documents, signatures, delivery evidence, chronology and completeness.

3. Test authority

Map applicable appropriation, procurement, contract, fiscal and payment rules to the action.

4. Establish standing

Verify each actor’s role, delegation, validity window, limits and required separation of duties.

5. Examine conflicts

Check duplicate claims, amount ceilings, prior disbursements, vendor eligibility and exceptions.

6. Bind and dispose

Generate ALLOW / HOLD / DENY / ESCALATE with reasons, rule versions and evidence hashes.

7. Revalidate at execution

Check time-sensitive facts, authorization and exact payment parameters immediately before release.

8. Reconcile outcome

Link treasury settlement or failure, reversal, audit exceptions and actual delivery outcomes.

7 / Integration and security boundaries

A reference implementation would connect through read-only or controlled interfaces to procurement, contract management, accounting, identity/delegation, vendor screening, document evidence and treasury payment systems. The AEA service should not independently acquire the power to transfer funds. A separate lawful payment authority remains mandatory.

Security requirements include signed evidence manifests, protected signing keys, tamper-evident decision logs, least privilege, dual-control where required, revocation checks, idempotent payment references, replay protection, privacy safeguards, disaster recovery and independent audit access. No cryptographic proof alone establishes legal authority.

8 / Failure and exception handling

The default response to missing critical evidence is HOLD, not automatic DENY. DENY requires a substantiated disqualifier. ESCALATE routes exceptional or disputed cases to an authorized human with recorded rationale. Emergency spending needs explicit, jurisdiction-specific exceptions and retrospective review; it must not become an unlogged bypass.

9 / Validation before any public claims

A credible pilot should use a consenting institution, a legally reviewed control map and historical or synthetic records before any live financial integration. Test false holds, false allows, exception burden, decision latency, completeness of audit trails, duplicate-payment detection, operator usability and adversarial manipulation. Compare against existing controls, not a hypothetical absence of controls.

Success criteria: demonstrable control coverage, reproducible decision records, no unauthorized payment execution, acceptable operational burden, and measurable incremental value. Do not claim fraud reduction or savings without an appropriate baseline and independent evidence.

10 / Institutional engagement and commercial path

Start with construction progress payments as a bounded reference case. Seek discovery with public financial management leaders, procurement offices, internal controls teams and government contractors. Distinguish oversight stakeholders from purchasing authorities. Pursue a scoped funded assessment only after genuine institutional interest, procurement eligibility and a concrete operational gap are established.

11 / Source and legal diligence

Relevant U.S. reference frameworks for jurisdiction-specific mapping include the GAO Standards for Internal Control in the Federal Government (Green Book), OMB Circular A-123, federal appropriations and payment rules, agency acquisition regulations, and Treasury payment-integrity services. Their applicability must be verified for each proposed deployment. Reference portals: gao.gov; whitehouse.gov/omb; fiscal.treasury.gov.

TA14 Authority Governance Institution | Concept reference v1.0 | No formal examination or deployment claim.